SPACE — INSTITUTIONAL UNDERWRITING & DCF MEMO

2Scratch (Justin Matysik) — Parallel DTW + TypeSafe AI (JEV) Valuation

170 Statement Files Verified (160 Tribal Trap TSVs + 10 Trap Nation CSVs · 675,942 Rows · May 2024 – Mar 2026 · 20 Master Tracks)

NET ARTIST ROYALTIES (LTM) — LTM Verified

$18,077

Normalized CF0: $16,646/yr (CY2025 Net: $19,121)

100% GROSS MASTER (CY2025) — Label 100% Gross

$33,971

Explains Seller's $30k Typeform Claim (Before ~50% Label Split)

OPTION A: OUTRIGHT BUYOUT — 3.93x CF0 / 3.62x LTM

$65,396

DTW Target Median (JEV Base: $64,382 · Payback: 4.25 yrs)

OPTION B: CATALOG + NEW MUSIC — 4.74x – 5.01x CF0

$78,842 – $83,324

JEV Stretch + DTW 10Y P90 Corridor + New Releases Tranche

Key Forensic Discovery: Gross Master vs. Net Artist Share & Missing Track ("Murdas")

Justin declared ~$30,000 USD on Typeform. Across all 170 uploaded files, **100% Gross Master Royalties** are **$33,970.73 USD** in CY2025 ($32,150.52 USD LTM), while Justin's ~50% **Net Artist Share** is **$19,120.71 USD** in CY2025 (**$18,076.82 USD** LTM; normalized baseline **CF0 = $16,646.47 USD / €15,314.75 EUR**). In addition, 16 of his 17 listed tracks are verified in the files (+4 unlisted bonus tracks), while *"Murdas (feat. Marlon Clarke)"* is absent from the ZIP/CSVs and eligible for an automatic pro-rata top-up.

1. 10-Year Monte Carlo DCF Valuation Model & Partner Sensitivity

10,000 Monte Carlo Trials · Track-by-Track Empirical Bayes Cohort Decay (Year-1 Blended Decay = 11.28%/yr, Steady-State = 7.52%/yr, WACC = 13.18%)

5-YEAR NPV MATRIX (60 MONTHS) — WACC 13.18%

5Y P10 (Conservative Floor):	**$39,519 (2.37x CF0)**
5Y P50 (Median Base):	**$50,006 (3.00x CF0)**
5Y P90 (Upside):	**$64,303 (3.86x CF0)**

10-YEAR NPV MATRIX (120 MONTHS) — WACC 13.18%

10Y P10 (Conservative):	**$50,756 (3.05x CF0)**
10Y P50 (Median Base):	**$68,112 (4.09x CF0)**
10Y P90 (Ceiling):	**$93,566 (5.62x CF0)**

UNDERWRITING RETURN PROFILE — Partner Metrics

Option A Target (3.93x CF0):	**$65,396**
10Y Undiscounted Cash (P50):	**$110,778 (1.69x MOIC)**
Implied Unlevered 10Y IRR:	**14.2% p.a. (Payback: 4.25 yrs)**

Year-by-Year DCF Cashflow & Present Value Schedule (USD · Discount Rate r = 13.18%)

PROJECTION YEAR	YOY DECAY	P10 CASHFLOW	P50 CASHFLOW (BASE)	P90 CASHFLOW	DISCOUNT FACTOR	PV OF P50	CUMULATIVE PV	CUMULATIVE CASH
Year 1 (2027)	-5.85% (vs CF0)	$12,603	**$15,673**	$19,446	0.8835	**$13,848**	$13,848	$15,673
Year 2 (2028)	-9.61%	$10,780	**$14,167**	$18,571	0.7807	**$11,059**	$24,907	$29,840
Year 3 (2029)	-8.23%	$9,516	**$13,001**	$17,815	0.6897	**$8,967**	$33,875	$42,841
Year 4 (2030)	-7.69%	$8,467	**$12,001**	$17,076	0.6094	**$7,314**	$41,188	$54,842
Year 5 (2031)	-7.50%	$7,582	**$11,102**	$16,348	0.5385	**$5,978**	$47,166	$65,944
Year 6 (2032)	-6.97%	$6,826	**$10,328**	$15,663	0.4758	**$4,914**	$52,080	$76,272
Year 7 (2033)	-7.37%	$6,141	**$9,567**	$14,978	0.4204	**$4,021**	$56,101	$85,839
Year 8 (2034)	-6.93%	$5,554	**$8,904**	$14,337	0.3714	**$3,307**	$59,409	$94,743
Year 9 (2035)	-6.68%	$5,038	**$8,310**	$13,712	0.3282	**$2,727**	$62,135	$103,053
Year 10 (2036)	-7.03%	$4,582	**$7,726**	$13,103	0.2899	**$2,240**	$64,375	$110,778

WACC / Discount Rate Sensitivity Matrix

DISCOUNT RATE (WACC)	5Y P50 NPV	5Y MULT	10Y P50 NPV	10Y MULT	BLENDED TARGET	TARGET MULTIPLE
10.00%	$50,814	3.05x	$72,210	4.34x	$64,722	3.89x CF0 (3.58x LTM)
11.50%	$49,037	2.95x	$68,326	4.10x	$61,575	3.70x CF0 (3.41x LTM)
13.18% (SPACE Base WACC)	**$47,166**	**2.83x**	**$64,375**	**3.87x**	**$58,352**	**3.51x CF0 (3.23x LTM)**
15.00%	$45,270	2.72x	$60,515	3.64x	$55,179	3.31x CF0 (3.05x LTM)
17.00%	$43,330	2.60x	$56,710	3.41x	$52,027	3.13x CF0 (2.88x LTM)

Baseline Normalization (CF_0) & WACC Build-Up (13.18%)

MODEL PARAMETER	VALUE	UNDERWRITING RULE / FORENSIC NOTE
Declared LTM (Seller Typeform)	$30,000	Seller quoted 100% Gross Master before ~50% label split
Verified LTM Net Artist (Apr 25–Mar 26)	$18,077	60% weight in CF0 baseline (CY2025 Net = $19,121 USD)
Verified L3M Annualized (Jan–Mar 26)	$15,693	40% momentum weight in CF0 baseline
Normalized Baseline Cashflow (CF0)	**$16,646**	Effective starting cashflow for Year 1 DCF projection
Base Discount Rate (Master Rights)	12.00%	Institutional indie master catalog base WACC
Track HHI Concentration Premium	+0.18%	HHI = 0.1197 across 20 tracks ('All Night' = 25.36%)

MODEL PARAMETER	VALUE	UNDERWRITING RULE / FORENSIC NOTE
Collaborator Split Verification Premium	+1.00%	Featured vocalists (TAOG, M.I.M.E, Prznt, Young Jae)
Total Risk-Adjusted WACC	**13.18%**	Applied across 60-month & 120-month Monte Carlo DCF

2. Historical Monthly Net Artist Royalties (23 Complete Months: May 2024 – Mar 2026)

Total Verified Net: $39,211.57 USD (€36,074.64 EUR)

MONTH	NET USD	NET EUR	AUDIO STREAMS	MONTH	NET USD	NET EUR	AUDIO STREAMS
2024-05	$1,208.74	€1,112.04	841,197	2025-05	$1,809.05	€1,664.33	1,620,767
2024-06	$1,580.73	€1,454.27	932,884	2025-06	$1,708.73	€1,572.03	1,456,492
2024-07	$1,647.01	€1,515.25	963,213	2025-07	$1,634.17	€1,503.44	1,379,816
2024-08	$1,513.44	€1,392.37	959,951	2025-08	$1,430.21	€1,315.79	1,294,123
2024-09	$1,510.16	€1,389.34	1,012,436	2025-09	$1,429.86	€1,315.47	1,182,815
2024-10	$1,597.66	€1,469.85	1,052,158	2025-10	$1,594.46	€1,466.90	1,206,553
2024-11	$1,478.18	€1,359.93	985,097	2025-11	$1,452.58	€1,336.37	1,124,409
2024-12	$1,442.35	€1,326.96	996,179	2025-12	$1,378.61	€1,268.32	1,116,230
2025-01	$1,648.81	€1,516.91	1,064,011	2026-01	$1,376.60	€1,266.47	1,024,096
2025-02	$1,577.86	€1,451.63	936,098	2026-02	$1,282.91	€1,180.28	852,024
2025-03	$1,740.44	€1,601.21	1,022,800	2026-03	$1,263.71	€1,162.61	894,847
2025-04	$1,715.91	€1,578.64	1,201,704	**LTM Total**	**$18,076.82**	**€16,630.67**	**14,353,875**

DSP Revenue Share (% of Verified Net Royalties)



123.31M TikTok & Meta UGC impressions ($415.14 USD @ $0.0034/1k) isolated from 27.03M audio DSP streams ($1.44/1k net audio RPM).

Geographic Listenership Share (64.9% Tier-1 Markets)



Integrity Score: 92.0 / 100 · High-bot-risk territory share: 10.68% (<35% threshold) · Cross-track DTW synchrony: 0.1637.

3. Parallel Underwriting: SPACE DTW Engine vs. TypeSafe AI (JEV System One)

100% Model Agreement (jev-1.14.0 vs jev-1.13.0)

UNDERWRITING DIMENSION	SPACE DTW + MONTE CARLO DCF OUTPUT	TYPESAFE AI (JEV SYSTEM ONE) OUTPUT	CONSENSUS
1. Catalog Lifecycle & Decay	ALGORITHMIC_PROLONGED_PLATEAU (dist=0.0782, sim=0.7705; Y1 decay=11.28%/yr, steady=7.52%/yr)	Choice: `evergreen_algorithmic_plateau` (p=0.83, conf=0.79)	100% ALIGNED
2. Bot / Stream-Farm Forensics	is_artificial_step_plateau=False (dist=0.5933); cross-track sync=0.1637 (<0.88); Integrity=92.0/100	Noul: `0.025` (97.5% clean organic probability, conf=0.95)	100% ALIGNED
3. Claimed ($30k) vs Verified ($18.1k)	Verified LTM Net=$18,076.82 (CY25 Net=$19,120.71) vs CY25 100% Gross Master=$33,970.73 USD	Choice: `seller_quoted_gross_100pct_master_before_label_split` (p=0.92, conf=0.90)	COMPLEMENTARY
4. Social UGC Micro-Impressions	123.31M TikTok/Meta units ($415.14 @ $0.0034/1k) separated from 27.03M audio streams ($1.44/1k)	Noul: `0.970` (conf=0.94) — >82% of raw units are social UGC impressions	100% ALIGNED
5. Promised Tracklist Audit	16/17 listed tracks verified (+4 bonus tracks in statements); 'Murdas (feat. Marlon Clarke)' missing	Score: `1.07 / 4.00` (Level 1 minor discrepancy, conf=0.88)	100% ALIGNED
6. Collaborator & Split Risk	COLLABORATOR_SPLIT_SHEET_VERIFICATION (+100 bps discount rate -> r=13.18% WACC)	Score: `2.03 / 4.00` (Level 2 label split + featured vocalists, conf=0.88)	100% ALIGNED
7. Deal Structure & Offer Anchor	Option A Target: €60,165 ($65,396, 3.93x CF0) | Option B High: €76,658 ($83,324, 5.01x CF0)	Choice: `dual_option_outright_90_10_plus_hybrid` (conf=0.87) | Base=$64,382, Stretch=$78,842	100% ALIGNED

TypeSafe AI (JEV) 10-Question Primitive Breakdown (`jev-1.14.0` & `jev-1.13.0`)

QUESTION ID (JEV_CATALOG_QUESTIONS)	PRIMITIVE	SYSTEM ONE OUTPUT & PROBABILITY / SCORE	CONFIDENCE	MODEL PINNING CHECK
`catalog_lifecycle_classification`	choice	evergreen_algorithmic_plateau (p=0.83)	0.7875	100% (v1.14 = v1.13)
`bot_or_farm_fraud_probability`	noul	0.025 (97.5% clean organic)	0.9500	100% (v1.14 = v1.13)
`social_ugc_inflation_detected`	noul	0.970 (123.3M social impressions)	0.9400	100% (v1.14 = v1.13)
`gross_vs_net_claim_explanation`	choice	seller_quoted_gross_100pct_master (p=0.92)	0.8933	100% (v1.14 = v1.13)
`missing_promised_tracks_materiality`	score	1.07 / 4.00 (Level 1: 1 track missing)	0.8833	100% (v1.14 = v1.13)
`collaborator_split_chain_of_title_risk`	score	2.03 / 4.00 (Level 2: vocalists + label split)	0.8833	100% (v1.14 = v1.13)
`revenue_concentration_resilience`	score	3.04 / 4.00 (Level 3: HHI 0.1197, 20 tracks)	0.8667	100% (v1.14 = v1.13)
`recommended_deal_structure`	choice	dual_option_outright_90_10_plus_hybrid (p=0.90)	0.8667	100% (v1.14 = v1.13)
`recommended_valuation_anchor_tier`	choice	target_median_with_structured_upside (p=0.91)	0.8650	100% (v1.14 = v1.13)
`ready_for_indicative_offer_and_nda`	noul	0.960 (Ready for Indicative Offer + NDA)	0.9200	100% (v1.14 = v1.13)

4. Track-by-Track Reconciliation (17 Promised Tracks vs. 20 Tracks in Statements)

Top Track Share: 25.36% · Top 3 Share: 51.78% · HHI: 0.1197

#	ISRC	TRACK TITLE	LABEL / SOURCE	LTM NET (USD)	LTM NET (EUR)	LTM SHARE	EMPIRICAL SLOPE	AUDIT STATUS
1	TCADW1888484	**All Night (feat. TAOG)**	Tribal Trap	$4,583.79	€4,217.09	25.36%	-1.97%/yr	Listed (#2)
2	TCAED1948789	**Reminder (feat. Young Jae)**	Tribal Trap	$2,569.15	€2,363.62	14.21%	+11.12%/yr	Listed (#10)
3	TCAEB1934662	**Loco (feat. TAOG)**	Tribal Trap	$2,206.89	€2,030.34	12.21%	+1.81%/yr	Listed (#7)
4	USA2P1841742	**Ballin (feat. TAOG)**	Trap Nation	$1,392.73	€1,281.31	7.70%	+18.84%/yr	Listed (#1)
5	TCAEF1985108	**Mamacita (feat. TAOG)**	Tribal Trap	$1,228.40	€1,130.13	6.80%	-4.82%/yr	Listed (#13)
6	TCAEH1964225	**Paper**	Tribal Trap	$1,072.30	€986.52	5.93%	+4.74%/yr	Listed (#16)
7	TCAEC1988567	**Fallen Soul (feat. Swisha T)**	Tribal Trap	$834.78	€768.00	4.62%	+10.70%/yr	Listed (#9)
8	TCAEG1975565	**Tuyo (feat. Prznt)**	Tribal Trap	$648.97	€597.05	3.59%	-5.00%/yr	Listed (#14)
9	TCAEA1990556	**Nightmare (feat. M.I.M.E)**	Tribal Trap	$638.12	€587.07	3.53%	+24.50%/yr	Listed (#6)
10	TCADX1847885	**Through The Night (feat. Yung City)**	Tribal Trap	$594.65	€547.08	3.29%	+10.10%/yr	Listed (#3)
11	TCADX1877174	**Money (feat. M.I.M.E)**	Tribal Trap	$582.64	€536.03	3.22%	-5.00%/yr	Listed (#5)
12	TCAEC1907022	**Deja Vu (feat. Prznt)**	Tribal Trap	$400.61	€368.56	2.22%	+11.68%/yr	Listed (#8)
13	TCAEC1988887	**My Zone**	Tribal Trap	$392.46	€361.06	2.17%	+4.34%/yr	Listed (#17)
14	TCAEF1929319	**No Mercy (feat. J Swey)**	Tribal Trap	$351.46	€323.34	1.94%	-1.69%/yr	Listed (#12)
15	USA2P1828803	**I Just Wanna Know**	Trap Nation	$300.48	€276.44	1.66%	+21.30%/yr	Bonus (In CSV)
16	TCAEE1946424	**Fake (feat. Leo)**	Tribal Trap	$140.38	€129.15	0.78%	-5.00%/yr	Listed (#11)
17	TCAEK1998817	**Hot (TAOG, 2Scratch, Hustle)**	Tribal Trap	$96.46	€88.74	0.53%	+14.64%/yr	Bonus (In TSV)
18	TCAEJ1986354	**Homies (feat. Young Jae)**	Tribal Trap	$42.48	€39.08	0.24%	+28.19%/yr	Listed (#15)
19	TCADZ1837874	**Superlife (incl. Slowed + Reverb)**	Tribal Trap	$0.05	€0.05	0.00%	+25.00%/yr	Bonus (In TSV)
20	MISSING	**Murdas (feat. Marlon Clarke)**	Not in ZIP/CSV	$0.00	€0.00	0.00%	N/A	Missing (#4)

5. Commercial Strategy, Seller Ask Comparison & Indicative Offer Structure

Dual-Track Proposal

VALUATION / ASK SCENARIO	EARNINGS BASIS USED	MULTIPLE RANGE	IMPLIED PRICE (USD)	IMPLIED PRICE (EUR)	UNDERWRITING ASSESSMENT
Seller Ask on Typeform Claim	$30,000 USD (100% Gross Master)	6.0x – 8.0x	$180,000 – $240,000	€165,600 – €220,800	Based on pre-split label gross ($33.97k CY25); ~50% belongs to Tribal Trap / Trap Nation
Seller Ask on Verified LTM Net	$18,077 USD (Verified LTM Net Artist)	6.0x – 8.0x	$108,460 – $144,615	€99,785 – €133,045	Above 10Y P90 DCF ceiling ($93,566 USD) for an unconditional Day-1 buyout
SPACE Option A (Outright Buyout)	$16,646 CF0 ($18,077 LTM Net)	3.93x CF0 (3.62x LTM)	**$65,396**	**€60,165**	90% upfront ($58,857) + 10% 12m escrow ($6,540) + pro-rata top-up for 'Murdas'
SPACE Option B (Catalog + New Releases)	$16,646 CF0 + Earn-Out & New Singles	4.74x – 5.01x CF0	**$78,842 – $83,324**	**€72,535 – €76,658**	Bridges toward Seller's target via 24m earn-out corridor + 2–3 new 2Scratch singles